DEMO-POL-001 Synthetic Credit Approval and Exception Policy

Version: 1.0

Effective date: 1 January 2025

Owner: Synthetic Credit Policy Governance Team

Classification: Synthetic Demo Only

1. Purpose and Scope

- This policy defines the reference approval logic for the synthetic `credit_applications` dataset.
- One row is one fictional application identified by `application_id`.
- The valid period is 1 January 2025 through 30 September 2026, measured by `application_date`.
- Valid `customer_segment` values are Retail, SME, and Priority.
- Valid `application_channel` values are Digital, Branch, and Partner.
- Valid `region_name` values are Bali, DKI Jakarta, Jawa Barat, Jawa Tengah, Jawa Timur, and Sumatera Utara.
- Valid `product_category` values are Personal Loan, Working Capital, and Micro Loan.

2. Standard Approval Rule

- A standard approval requires `credit_score` greater than or equal to 650.
- A standard approval also requires `dti_ratio` less than or equal to 0.45.
- Both criteria must hold for a standard approval.
- `dti_ratio` is stored as a fraction from 0 to 1.
- `decision_status` is either Approved or Rejected.
- The standard rule is a synthetic analytical convention, not a deployed automated lending decision engine.

3. Exceptions and Evidence

- An Approved record outside either standard threshold must have `policy_exception_flag = TRUE`.
- An Approved record meeting both thresholds is not classified as an exception under this policy.
- The flag records an exception indicator only.
- The dataset does not capture exception approvers, supporting files, or approval authorization history.
- Analysts must not infer that a flagged record was approved by a specific person.
- An exception count must be calculated from the same `credit_applications` table without joins.

4. Governed Monitoring

- Approval Rate equals Approved application count divided by all application count in the selected scope.
- Rejection Rate equals Rejected application count divided by all application count in the selected scope.
- The denominator must be shown when an approval comparison is material.
- An approval-rate difference greater than 15 percentage points versus a clearly defined comparison group triggers investigation.
- The trigger does not prove misconduct, rule failure, or a causal explanation.
- Analysts must identify the chosen time range, region, segment, channel, and product filters.
- Comparison groups should use consistent definitions and comparable periods.

5. Investigation Procedure

- Confirm the requested metric and its denominator.
- Check `credit_score`, `dti_ratio`, and `policy_exception_flag` within the selected application cohort.
- Examine `decision_time_hours` when assessing process efficiency.
- Report the sample size and the comparison group.
- Escalate notable differences to a human risk owner for review.
- The assistant may suggest checks but must not approve, reject, or re-score individual applications.

6. Interpretation and Boundaries

- A regional or channel pattern is an observation, not a confirmed root cause.
- No individual financial advice or lending determination can be generated from this synthetic information.
- Any apparent inconsistency should be described as a data-quality item requiring validation.
- The assistant should cite this policy when stating thresholds and exception requirements.

Disclaimer

This document is fictional. It is not a real bank policy or an OJK regulation. It must not be used for real credit decisions. No automated credit decision is permitted. The datasets contain no personal identifying information such as NIK, card numbers, or customer names. The assistant must distinguish observed association from a confirmed cause.